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AIA Times

Empowering The Minds That Lead



UNCOVERING HIDDEN PATTERNS

AUDIT THAT SPOTS FRAUDSTERS

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EDITORIAL NOTE

Reading Between the Lines



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JASMEET KAUR

Editor Incharge

Fraud doesn't announce itself. It settles quietly into the spaces between approvals, between transactions, between the numbers that all look perfectly normal - until you step back and see what they're forming together.

That is the nature of hidden patterns. Individually, they ask no questions. Collectively, they tell the whole story.

This edition of **AIA Times** is built around that realisation. Our theme, **"Uncovering Hidden Patterns: Audit That Spots Fraudsters",** is not just a subject. It is a shift in how we ask you to think. Not line by line. Not entry by entry. But across the full picture, where the pattern lives.

Inside this volume, you will find:

Feature Story - Makes the case that no single transaction tells the full story. It is the accumulation, the sequence, and the relationships among data points that expose what individual numbers are designed to conceal. Our expert interview in this volume features **Mr. Pradip Bhale, Certified Fraud Examiner,** in a conversation that sits at the rare intersection of law enforcement and forensic audit. He offers a practitioner's view on **"Data Is Everywhere. Pattern Thinking Is Rare"** - what pattern thinking looks like when it is applied under real pressure, in the field.

Our student voices in this volume highlight views of **Mr. *Thiyagarajan Chandramohan* and Ms. *Theresa James* on "*The Day I Spotted a Pattern No One Else Was Looking For*" and "*Seeing the Whole Chessboard and Thinking Like a Fraudster*" -** bringing in the perspective of professionals who have moved from learning this craft to practising it, and reflect honestly on what that transition demands. Through **Industry Insights**: **The Evolving Face of Fraud Detection**, we examine what is changing in the audit and forensic investigation landscape, and what those changes demand from professionals operating in it today. The **Trend Radar** maps where the forensic audit industry is heading, capturing the skills in demand, the roles being created, and the numbers that define the profession's direction right now.

The Learning Topic in this volume moves beyond theory into three pattern frameworks fraud examiners actually use **- *Behavioural & Transaction Patterns, Network Analysis, and the 3-3-3 Rule of Vendor Fraud Detection.*** Not just knowledge, but a new way of seeing that you will carry into every audit after this. At its core, this edition is built on one belief: patterns do not lie, but they do require someone willing to look long enough to read them.

A note to our readers:

AIA Times is a publication that builds within you the instinct to catch fraud before that point. Every article in this volume is written with one reader in mind - someone who understands that the difference between a good auditor and a great one is not the certification on their wall. It is the question they ask when everything looks fine. Because that is exactly when you need to look harder.

Read carefully. The pattern is always there.

Jasmeet



Message From The CEO

A Message from the Mind Behind the Mission

"Patterns don't reveal themselves to everyone. They reveal themselves to those willing to look beyond the obvious."



Patterns have always told the truth. The challenge is whether we are trained to notice them.

Over the years, I have met students eager to build meaningful careers and professionals determined to grow beyond routine responsibilities. Yet, one observation continues to stand out. Many possess knowledge, but far fewer are equipped to connect information, question anomalies, and make sound judgments when the answers are not obvious.

The profession is evolving faster, fraud is becoming more sophisticated, and technology is reshaping how risks are identified and managed. Organisations need individuals who can interpret patterns and make informed decisions with confidence.

Pattern blindness costs organisations - not only money, but credibility, time, and the quiet confidence that their systems are actually working.

We are at an interesting point in the audit and financial crime profession. Technology has given us access to more data than any previous generation of professionals could have imagined. Transaction records, behavioral logs, vendor histories, approval chains - all of it sits in systems that are more powerful and more accessible. And yet, fraud continues. Cases that should have been flagged months earlier are only discovered after the damage is done. Reviews are conducted, and almost every time, the pattern was always there.

This is the gap that concerns me most - not the absence of data, but the absence of the mindset to interrogate it.

The ability to look at a set of numbers that individually appear clean and ask: what is this telling me when I step back? That skill is not developed through frameworks alone. It is built through exposure, through practice, and through the discipline of staying curious even when everything seems in order.

At AIA, this is the professional we are committed to building. Not someone who can simply recite frameworks, but someone who can work with incomplete information, recognise what does not fit, and follow that instinct until hidden risks become visible.

The professionals who will define this industry in the next decade are not the ones who know the most. They are the ones who question the most. The ones who are quietly uncomfortable with easy explanations. The ones who understand that a clean-looking transaction and a clean transaction are not the same thing.

This edition of AIA Times - Uncovering Hidden Patterns: Audit That Spots Fraudsters — is built around that exact distinction.

My message to every reader is simple. As you turn these pages, I encourage you to go beyond reading and explore the case study, ask yourself where you would have stopped, and why - and pay attention to the thinking behind the questions.

Approach this edition as a problem to engage with. Because the mind that spots what others miss is not born that way. It is built. Deliberately, over time, through the right kind of attention.

Read it with curiosity. Question it with intent. And let it change the way you see patterns that others miss.

Individual Numbers Can Deceive, But Patterns Reveal the Truth



In early 2024, a finance employee at Arup, one of the world's largest engineering firms, joined a video conference call with his CFO and several senior colleagues. They discussed a confidential transaction. They looked real. They sounded real. They were not. Every person on that call was an AI-generated deepfake. By the time the fraud was discovered, the employee had wired $25 million to accounts controlled by fraudsters.

No forged document. No hacked system. No inside accomplice. Just a pattern of behaviour, an unusual request, an unsolicited meeting, a sense of urgency — signals that an auditor trained to question the ordinary might have caught before the transfer was ever made.

This is what fraud looks like. Not dramatic. Not always obvious. But always, always - built on a pattern.

When the Numbers Grew Louder

The numbers are no longer quiet.

In India, the Reserve Bank of India's most recent data shows bank frauds reached ₹48,021 crore in FY2025–26 - a 46.4% increase from the previous year and more than four times the ₹11,013 crore reported just two years earlier. The case count has fallen, but the average value per fraud has surged. Fewer frauds, far larger losses. The sophistication is rising faster than the frequency.

₹48,021 Cr. Bank fraud value reported in India - FY2025–26 | RBI Annual Report 2026

Globally, losses to occupational fraud are estimated at USD 5 trillion every year. A typical fraud case runs for twelve months before detection, and the longer it continues, the higher the resultant loss.

What these numbers share is not a story about clever criminals. It is a story about patterns that were present, and unread.

What Hides Between the Lines

Fraud rarely announces itself through a single, catastrophic transaction. The version that makes headlines - the overnight collapse, the missing crores, the sudden arrest - is the final chapter of a story that began months or years earlier in the quietest possible way. A vendor added to the master data without verification. An approval processed by the same person who raised the request. An invoice amount that lands, month after month, just below the threshold that would require a second signature.

Each of these events, reviewed in isolation, passes. It is only when they are read together, as a sequence, a pattern, a shape forming across time - that the fraud becomes visible. More than half of all occupational frauds globally occur due to a lack of internal controls or an override of existing controls.

Cover

The override is not the fraud - it is the pattern that enables it. And it is the pattern that conventional, point-in-time auditing is least equipped to catch.

The fraudster is not acting randomly. They are acting systematically. Which means the evidence of their system is always there - in the timing, the amounts, the approvals, the relationships.

The Architect Behind the Pattern

Understanding how fraud is designed is the fastest route to understanding how to detect it.

Experienced fraud examiners consistently observe that perpetrators think in systems, not transactions. They learn approval thresholds and stay beneath them. They identify the moments of lowest scrutiny - year-end, leadership transitions, the week before a scheduled audit - and concentrate their activity there. They build relationships that provide cover and create processes they control end-to-end.

According to ACFE data, excessive pressure from within the organisation is associated with a median fraud loss of $532,000, the highest of any behavioural red flag category. Pressure does not create fraud on its own, but it creates the rationalisation that allows someone to begin. And once begun, fraud follows patterns as predictable as the controls it exploits.

What this means for investigators is precise: the fraudster has already left a map. Every threshold avoided, every relationship cultivated to reduce scrutiny. They are decisions. And decisions, made consistently over time, form patterns that no amount of concealment can fully erase. The auditor's job is to read the map before the journey completes.

The Pattern Is Changing. Are You?

The same technology giving investigators more data is giving fraudsters more weapons.

AI-related fraud cases rose from 23% in 2024 to 35% of all cases in early 2025, according to Experian's UK Fraud and Financial Crime Report. Generative AI-enabled fraud losses are projected to reach $40 billion in the United States alone by 2027. In the first half of 2025, deepfake-related fraud losses exceeded $410 million globally, and advanced attacks involving deepfakes, AI-generated identities, and multilayered social engineering increased 180% year-over-year.

180% *- Year-over-year increase in advanced fraud attacks involving deepfakes and AI-generated identities | Sumsub Identity Fraud Report 2025–26*

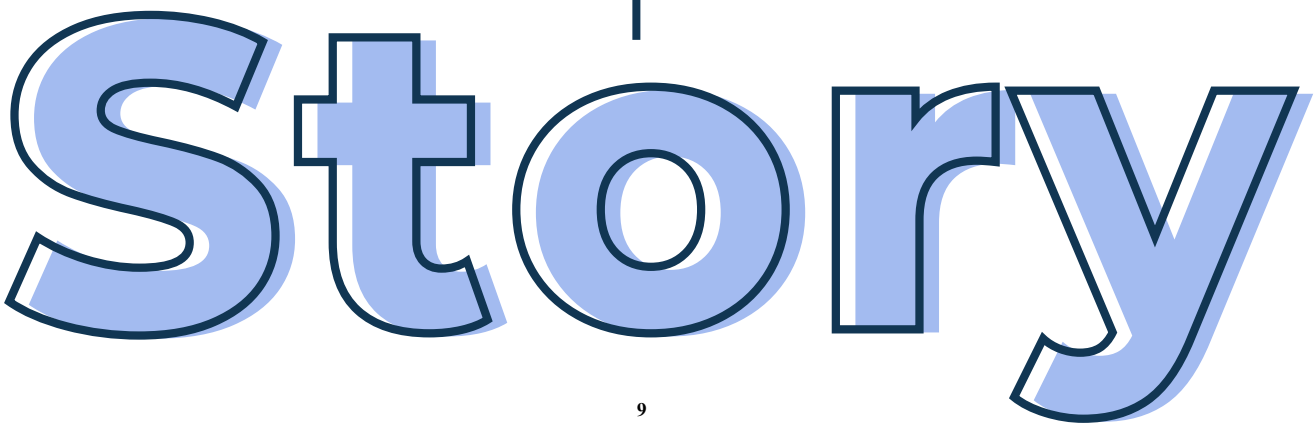
In India, fraud cases reported to the RBI nearly tripled between 2023 and 2024 among digital banking institutions. Nearly 90% of all cases reported pertained to previous fiscal years - meaning the true present-day scale remains obscured by significant reporting delays.

The fraud is moving faster. The patterns are being deliberately obscured. Detection cannot afford to stay at the same pace.

Reading What the Data Won't Say Directly

The shift from conventional auditing to pattern-based investigation is not about adopting new software. It is about changing the question. A conventional audit asks: Is this transaction correct? A pattern-based investigation asks: What does this transaction look like in relation to every other transaction around it? That shift, from vertical review to horizontal analysis, is where hidden fraud becomes visible.

In practice, this means cross-referencing vendor master data against employee records to expose undisclosed relationships. It means applying journal entry testing to find manual overrides processed at unusual hours by unusual users. It means mapping approval chains to identify individuals who appear too consistently in too many high-value decisions. It means treating timing, frequency, and proximity not as background detail but as primary evidence.



Despite the growing complexity of fraud schemes, the median training budget per fraud investigator has remained stagnant at $2,000 since 2019. The tools are improving. The investment in the human capability to use them has not kept pace, and that gap is where patterns go unread.

"Fraud survives where curiosity stops. The pattern was always there. It simply required someone willing to read it."

See It Before It Surfaces

The most effective audit mindset is not one that assumes compliance. It assumes the opposite, and then works to prove itself wrong.

This is not cynicism. It is professional rigour. It means reviewing a vendor relationship not just for whether invoices match, but for whether the relationship itself makes sense. It means treating a clean audit not as a conclusion, but as a reason to ask one more question.

Surprise audits reduce fraud losses by up to 63% compared to organisations that do not use them. External audits reduce losses by 52%. The mechanism behind both is the same: they introduce unpredictability into an environment that fraud depends on being predictable. They disrupt the pattern the fraudster has built their scheme around.



The professionals who will define the next decade of forensic audit are not simply the ones with the most technical knowledge. They are the ones who have trained themselves to be genuinely uncomfortable with easy answers, who follow a thread even when every individual piece of it looks perfectly normal, who understand that the space between data points is not empty. It is where the pattern lives.

"Individual numbers can deceive. But patterns - read carefully and followed patiently - always reveal the truth."





In a world drowning in numbers, the ability to see patterns is what separates insight from information.

It's not just about data. It's about understanding what the data is trying to tell you.



EXPERT STORIES

MINDS IN ACTION

Success Story



A Journey Deferred, But Never Forgotten – My CFE Story

Rajeev Angiras (Brand Protection Lead - Asia Bayer Cropscience Ltd.)

There is a saying that has always resonated with me: learning has no finish line. Looking back, my journey to becoming a CFE is a testament to that belief.

My desire to pursue CFE was born much earlier than the certification itself. I had first planned to pursue it in 2013, but like many working professionals, demanding responsibilities and shifting priorities meant that goal remained on the back burner. To be honest, the sheer volume of nearly 2,000 pages of study material also made the certification feel overwhelming at the time.

Although I continued to grow professionally, the thought of earning the CFE credential never left me. More than a decade later, I realised there would never be a "perfect" time.

Professionally, I have had the privilege of building my career in Intellectual Property Rights (IPR), Brand Protection, and Corporate Investigations at Bayer CropScience. Over the years, my academic qualifications — including LL.B., PGDM, and M.Com — have provided a strong foundation, while I see the CFE not as a replacement for these qualifications, but as a valuable complement that strengthened my investigative mindset which modern fraud risk professionals need.

While the CFE may not be directly embedded into every aspect of my current role, it has undoubtedly changed the way I approach problems. Today, I instinctively question assumptions, look for inconsistencies, and connect seemingly unrelated facts before arriving at conclusions. That shift in thinking has influenced not only investigations but also everyday decision-making and risk assessment.

One of the reasons I pursued the CFE was its long-term relevance. As fraud risks continue to evolve, organisations across banking, insurance, consulting, multinational corporations, and financial services are placing greater emphasis on professionals who understand fraud prevention, investigations, and forensic thinking. The CFE equips professionals with practical knowledge that remains relevant across industries and even opens opportunities in international markets with the right experience.

No meaningful achievement is accomplished alone. I would like to sincerely thank Mr. Puneet Garg for his constant encouragement and mentorship throughout this journey. His practical teaching approach, ability to simplify complex topics, and genuine commitment to every learner made the preparation process far more engaging than I had imagined.

If my journey has taught me one lesson, it is this: it is never too late to invest in yourself. Dreams may be delayed, but they need not be abandoned. The knowledge you acquire today may become the opportunity you embrace tomorrow.

To everyone preparing for the CFE examination, stay consistent, trust your preparation, and don't let the size of the syllabus discourage you. The certification is valuable, but the analytical mindset and confidence you build along the way will benefit you long after the exam is over.

Data Is Everywhere. Pattern Thinking Is Rare.

1. **How has law enforcement shaped the way you think about financial crime and fraud patterns?**

20+ years in law enforcement teach you one thing very quickly - facts don't speak for themselves. People do, and people lie. Before I ever looked at a balance sheet through a forensic lens, I had already spent years reading rooms, reading behaviour, reading what wasn't being said. That instinct is something a classroom cannot manufacture. When I pursued the CFE, it gave structure to what I had already been doing intuitively - it gave me the language, the framework, and the methodology to translate field observations into findings that hold up under scrutiny. Law enforcement taught me to see. CFE taught me to prove. Together, they create a perspective that neither discipline builds alone.

2. **As someone who has worked in field investigations, what does a fraud pattern actually look like on the ground - not in a spreadsheet, but in real life?**

In the field, fraud rarely announces itself through numbers first. It announces itself through people. A vendor contact who only communicates through one employee. A manager who volunteers to handle approvals when colleagues are unavailable. An executive who becomes visibly uncomfortable when a routine process gets a second pair of eyes. These are the signals that precede the financial trail - sometimes by months. The transactions confirm what the behaviour already told you. What separates experienced investigators from capable ones is this: they have trained themselves to treat human signals as primary evidence. The spreadsheet is where you build the case. The ground is where you find it.

3. **What was the moment or case that made you realise forensic audit thinking would make you a sharper investigator?**

There was a case early in my career, a procurement irregularity everyone around me treated as a paperwork issue. Amounts were within policy. Approvals existed. On paper, nothing was wrong. But something didn't sit right. I kept pulling threads, and what appeared to be an administrative oversight turned out to be a structured scheme running for over two years. The problem was, instinct alone couldn't build a watertight case. I needed a framework to translate what I was seeing into something that would hold up under scrutiny. That is precisely what the CFE gave me. It didn't change what I noticed. It changed what I could do with it. Seniority gives you instinct. Certification gives you the structure to act on it.

4. **If you had to teach a room full of aspiring investigators one thing about pattern thinking that no textbook covers - what would it be?**

In every investigation I have been part of, the most important moment was not when the evidence confirmed the fraud - it was the earlier moment when something felt wrong but could not yet be proven. Most professionals rush past that moment. They look for certainty before they commit to a direction. Pattern thinking requires the opposite — the willingness to sit with "something is off here" and follow that feeling methodically, even when you cannot yet articulate why. The instinct that something doesn't fit is not unprofessional. It is the beginning of every investigation that matters. The skill is not in finding the answer. It is in trusting the question long enough to find it.

Pradip Bhale, CFE

He is a Law Enforcement Officer with over two decades of experience in investigations and financial crime. He also served as Dy SP based in Mumbai, Maharashtra. He brings a rare combination of ground-level investigative instinct and certified forensic audit expertise to every case he encounters.



5. **In your experience, what are the most common hidden patterns that repeatedly appear across fraud cases, patterns that seem invisible at first but are obvious in hindsight?**

After decades of investigations, certain patterns repeat with remarkable consistency. Transactions clustering at month-end or just before an audit cycle. Approval chains where one name appears too frequently across too many high-value decisions. Amounts that land just below thresholds - not once, but repeatedly, across multiple vendors. And perhaps most telling - the same individuals always present at the point where controls are weakest. In hindsight, these signals are obvious. The question investigators must answer honestly is: why weren't they obvious in real time? Almost always, the answer is the same. Someone saw the signal and didn't follow it. Pattern thinking is not about intelligence. It is about discipline - the discipline to treat small anomalies as seriously as large ones, before hindsight makes that decision easy.

6. **Fraudsters deliberately break patterns to avoid detection. How do experienced investigators think when the pattern itself has been hidden intentionally?**

When a fraudster deliberately breaks their own pattern, they inevitably create a new one. The absence of documentation where documentation should exist. Timestamps that don't align. Approval sequences that are technically complete but internally inconsistent. I have learned to treat missing information as evidence - not as a gap. If a process that should generate a paper trail suddenly doesn't, that silence is louder than any transaction.

Experienced investigators cross-reference everything, not to find what is there, but to map what should be there and isn't. Deliberate concealment always leaves its own trail. It simply requires someone trained to look for what is missing, not only for what is present.

7. **There is a difference between an auditor who checks compliance and one who hunts for hidden patterns. In your view, what separates these two kinds of professionals?**

The compliance auditor asks: Is this correct? The pattern hunter asks: Why does this exist? That single shift in questioning changes everything. I have worked alongside both types of professionals throughout my career, and the difference is never about knowledge or qualification. It is entirely about mindset. A compliance auditor follows a checklist to its end and signs off when the boxes are ticked. A pattern hunter treats the clean checklist as a reason to look harder, because fraud is specifically designed to pass routine scrutiny. The real separator is comfort with ambiguity. Pattern hunters are willing to sit with an unanswered question and follow it. Compliance auditors are trained to resolve questions quickly and move on. One closes files. The other opens investigations.



Theresa James

Theresa James is a Senior Manager in Risk and Return Management at Allstate India, with over a decade of experience navigating complex risk landscapes, financial controls, and organisational oversight. She brings a practitioner's lens to fraud risk - one built across years of real-world decision-making.

Seeing the Whole Chessboard and Thinking Like a Fraudster

My professional journey has been less about mastering a single domain and more about learning how to connect many. **Controversial? Perhaps.** Early on, I believed expertise meant going deep into one area. Over time, however, I have come to see risk not as a collection of isolated disciplines, but as an interconnected system. **More importantly,** I have learned that to truly understand risk, you must sometimes think like those who exploit it. One lesson I have learnt across different domains is that fraud rarely succeeds because controls are absent **- it succeeds** because people assume controls are working.

A developer sees system logic, a lawyer sees legal exposure, an auditor evaluates controls, and a fraudster looks for the weakest link connecting them all. The real advantage comes from combining these perspectives rather than viewing them independently.

In practice, risks rarely exist in silos. A single control weakness can evolve into an operational failure, a compliance gap, an audit finding, and, critically, fraud. Thinking like a fraudster sharpens this perspective. It shifts the question from **"Is the control adequate?" to "How would I break this?" or "Where is the easiest path of exploitation?"** This mindset exposes gaps that traditional approaches may overlook. Resilience, in this context, extends beyond recovery. It is the ability to anticipate how systems can fail or be made to fail and to strengthen them proactively.

Academic learning and certifications provided me with the structure and discipline. Still, their true value lies in enabling professionals like me to think laterally, challenge assumptions, identify hidden vulnerabilities, and act strategically. It means consistently asking broader questions: **"What are we not seeing?", "Where could this fail under pressure?", "How might this be exploited?"**

Some of the most valuable lessons in my career came from investigations where the initial evidence pointed in the wrong direction. Those experiences taught me that the first explanation is rarely the complete one. They demanded the ability to learn, unlearn, and adapt, because effective investigations are built on curiosity, not assumptions. **Over time,** I realised that resilience is not about having all the answers; it is about revisiting evidence, challenging your own conclusions, and staying comfortable with uncertainty until the facts tell a consistent story.

As risk and audit functions move toward more strategic and advisory roles, this mindset becomes even more critical. Organizations need professionals who can think beyond controls and anticipate intent; who can connect the dots between systems, behaviors, and vulnerabilities. **Ultimately,** becoming a well-rounded risk professional is an ongoing journey. It's not about knowing everything or relying on static expertise, but about the ability to continuously expand perspective, integrate knowledge, and respond effectively to an ever-changing risk environment. In a world of increasingly complex and interconnected risks, our value lies in our ability to think across boundaries, anticipate what others might overlook, and act with clarity. And that **journey continues,** one move at a time, always with an eye on the whole board and thinking like the opponent- **the fraudster- to be best equipped to stay at least one step ahead!**

Thiyagarajan Chandramohan

Thiyagarajan Chandramohan, CFE and aspiring CIA, has spent 4+ years decoding fraud patterns in banking. His expertise lies in spotting complex financial fraud schemes and enterprise-level irregularities through deep pattern analysis.



The Day I Spotted a Pattern No One Else Was Looking For

Early in my career, I believed successful investigations depended on finding the biggest anomaly in the data. **Over time,** I realized the opposite was often true. The most important discoveries usually begin with small patterns that quietly repeat themselves, which comes with perception and not with preparation.

These both are two different things. Preparation gives you the vocabulary. Perception gives you the instinct to stop when something does not sit right - even when the data, on the surface, appears clean. **The moment** you actually see a pattern that nobody else in the room has noticed, that feels like a quiet, unsettling certainty that something is wrong, and you cannot yet prove it. I was part of a routine internal review of expense claims across a **mid-sized team** over two quarters. Nothing flagged. Nothing unusual on the surface. Claims were within limits, receipts were attached, approvals were in order.

Every individual entry passed. It was exactly the kind of review that gets completed quickly, filed away, and forgotten, because nothing demands a second look. **But** when I looked at the data across the full team, horizontally across all of them, something stopped me. **Three employees,** in three different departments, had submitted identical claim amounts in the same week. **Not similar. Identical,** down to the last rupee. Different expense categories, different descriptions, different dates on the receipts. But the same amount, three times, from three people who had no visible professional overlap. The probability of that being a coincidence was low enough to keep me sitting with it.

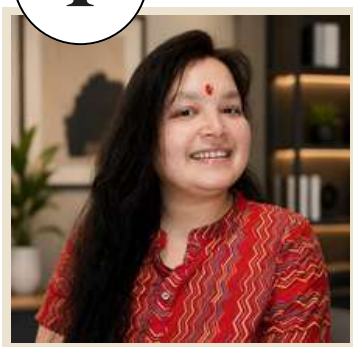
I mapped the claims against the approval chain. All three had been approved by the same line manager within minutes of each other, on a Friday afternoon. The receipts, when looked at closely, shared formatting inconsistencies that suggested they had not come from three different vendors. What had appeared as three separate, unremarkable transactions was, in reality, one coordinated act wearing three different faces.

What I was looking at was not one suspicious entry. It was a **coordinated pattern**, one that had been deliberately distributed across three people and three categories precisely to avoid appearing as a single anomaly. The distribution was not accidental - it was the strategy. And the strategy only became visible because I was looking at the data as a whole, not as isolated entries.

That day taught me something no classroom session had made tangible before: fraud is rarely a single event. It is a structure. And structures only become visible when you stop reading entries and start reading relationships. That shift - from reading transactions to reading patterns- is the most important professional transition I have made. It changed not just how I investigate, but how I see. It just needed someone willing to look at the whole picture instead of each piece separately.

Voices from the Classroom

1



KM Neha Singh

Financial Analyst

wipro

As a professional at **Wipro,** pursuing the **Certified Fraud Examiner (CFE) certification** through AIA is a strategic step toward mastering corporate integrity. My primary expectation is to sharpen my ability to detect, prevent, and investigate complex financial fraud, positioning myself as a high-value asset in risk management and corporate governance.

Through this program, I am gaining a comprehensive understanding of **fraudulent financial schemes, legal frameworks, and investigative techniques.** I am learning how to **analyze complex financial data, conduct effective interviews, and assess internal controls.** Ultimately, this certification equips me with the specialized skills needed to safeguard organizational assets and confidently advance **my career in forensic accounting and fraud examination.**

2



Ishant Kumar, CFE

Internal Controls Manager

OXFORD

I recently earned my **Certified Fraud Examiner (CFE) certification** through the structured classes and notes provided by the **Academy of Internal Audit,** and it has been a truly rewarding journey. Pursuing this certification alongside a full-time professional role was challenging, but the Academy's structured learning approach and continuous support made it both manageable and enjoyable.

A **special thanks to Puneet Sir** for his exceptional mentorship, practical insights, and ability to simplify complex concepts. His guidance not only helped me clear the exam but also enhanced the way I approach risk assessment, investigations, controls, and problem-solving in my professional career.

I'm **equally grateful to Sadaf** for her constant support and seamless coordination throughout the process.

The **CFE certification** has strengthened my analytical mindset and added significant value to my professional growth. I highly recommend the **Academy of Internal Audit to anyone aspiring to become a CFE.**

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Anas Kamal, CFE



Sridhar P., CFE



Rajni Kumari, CAMS

From Aspirants to Achievers

Certified. Committed. Career-ready. Meet the professionals who completed their journey with AIA.



Angel Susan, CIA P1



Victor, CFE



Vibha Singh, CAMS



THE PATTERN ALWAYS SPEAKS -

FEW KNOW HOW TO LISTEN

BRIEF

Industry Insight

The Evolving Face of Fraud Detection

1

The Human Element Still Matters

Technology flags anomalies. Humans explain them. Despite all advances in AI-powered monitoring, tips remain the single most powerful fraud detection tool available, and they always come from people, not systems. Organisations with formal reporting mechanisms experienced 50% lower fraud losses than those without one.

ACFE 2026 Report to the Nations: Tips accounted for 43% of all fraud detections, nearly 3x more than internal audit (15%). Of those tips, 55% came from employees inside the organisation.

2

The Insider Threat Is Growing

The most dangerous fraud rarely arrives from outside. Asset misappropriation schemes, the theft or misuse of organisational resources, appeared in 90% of occupational fraud cases. The perpetrator almost always has legitimate access. Organisations are still significantly underinvesting in insider risk programmes, even as the frequency and cost of internal fraud continues to climb year on year.



ACFE 2026: Median fraud loss per case stands at $104,000, with schemes lasting over five years causing median losses exceeding $1.1 million. The typical fraud ran for 12 months before anyone noticed.

3

From Reactive to Proactive: Audit Is Changing

Internal audit is evolving — from reviewing the past to reading the present, enhancing fraud detection, leveraging AI & analytics, addressing human factors, and adapting to new regulations. The organisations catching fraud earliest are those that treat audit as a continuous, pattern-driven process.

ACFE 2026: Organisations using proactive data monitoring and surprise audits consistently detected fraud faster and suffered materially lower losses than those relying on periodic review alone.

Behavioural Pattern



When People Change, Numbers Follow

Behavioural patterns are the human signals that precede financial irregularities. They don't appear in ledgers. They don't trigger system alerts. They are noticed or missed by the people in the room.

Most auditors are trained to find fraud in spreadsheets. But experienced investigators will tell you something different — fraud almost always shows up in behaviour before it shows up in data.

One of the most consistently documented behavioural indicators across fraud investigations globally is lifestyle inconsistency, commonly referred to as **living beyond one's means.** When an employee's visible lifestyle, vehicles, property, travel, and spending do not align with their known compensation, it creates a signal that experienced investigators treat seriously. This is not about judgment. It is about the gap between what is visible and what is explainable. In a significant majority of occupational fraud cases reviewed by the ACFE, perpetrators displayed unexplained lifestyle changes before the fraud was ever formally detected.

What makes behavioural signals genuinely dangerous is how ordinary they look. The fraud does not announce itself; it disguises itself as someone doing their job particularly well.

Financial Institutions

In banks, insurance companies, and investment firms, behavioural fraud patterns are closely tied to access and client relationships.

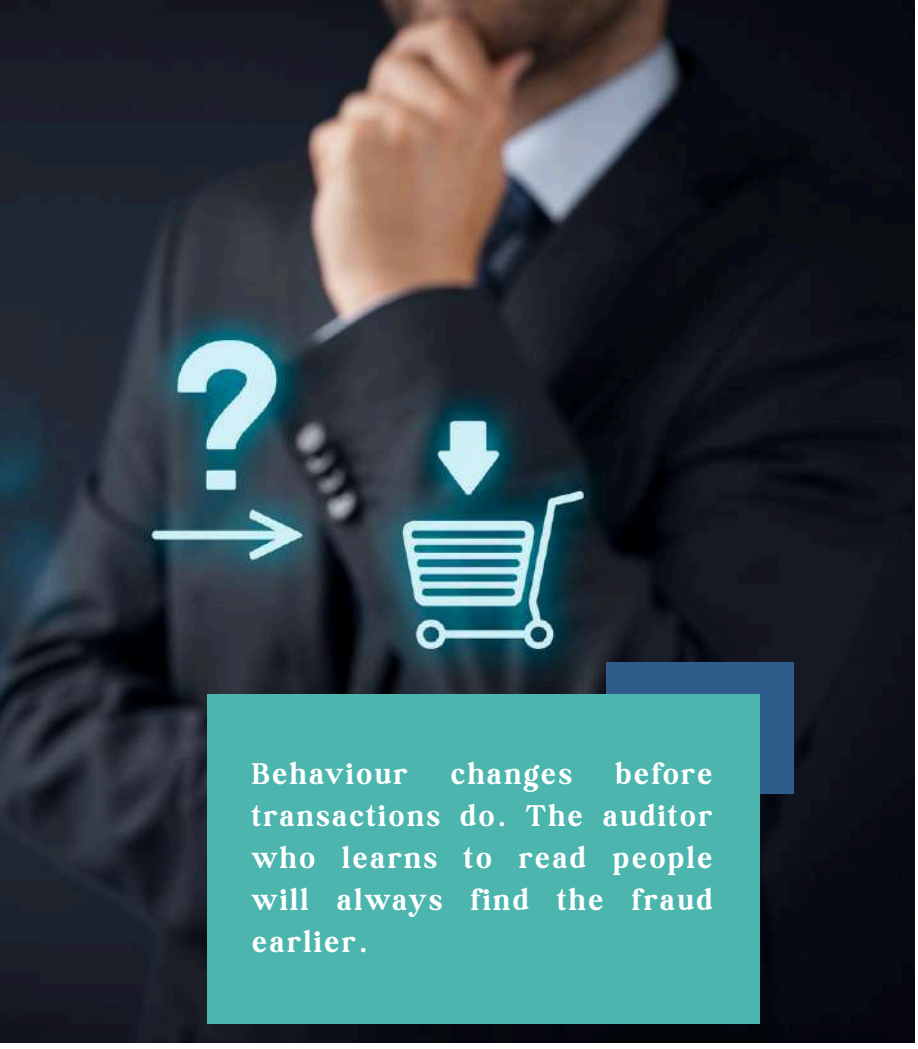
The most common signal is account ownership behaviour - a relationship manager or operations executive who becomes intensely possessive of specific accounts, clients, or transactions. They resist team reviews, discourage colleague involvement, and ensure that communication with a particular client runs exclusively through them.

The second pattern is process avoidance. Employees involved in fraud consistently find reasons to bypass verification steps; they process transactions during off-hours, approve requests when senior staff is unavailable, or exploit system access privileges that should have been restricted.

A third signal unique to financial institutions is unusual client familiarity - staff who develop personal relationships with clients outside professional boundaries, particularly when those clients are involved in high-value or high-frequency transactions. This social proximity often becomes the cover under which fraud operates.

Manufacturing

In manufacturing environments, behavioural patterns are concentrated in procurement, warehousing, and vendor management.



Behaviour changes before transactions do. The auditor who learns to read people will always find the fraud earlier.

The dominant signal here is vendor protectiveness. A purchase executive who insists on managing all communication with a specific supplier is displaying a pattern that experienced auditors treat as an immediate red flag.

The second pattern is physical access control. Warehouse staff or store managers who restrict colleague access to specific inventory areas, insist on being present during all stock counts, or consistently volunteer to handle returns and write-offs independently are exhibiting control behaviour that warrants attention.

A third manufacturing-specific signal is resistance to three-way matching. When procurement staff pushes back against purchase order, goods receipt, and invoice reconciliation processes, the resistance itself is worth examining.

Service Organisations

In consulting firms, IT companies, and professional services, behavioural fraud patterns cluster around billing, subcontracting, and expense management.

The clearest signal is timesheet and billing opacity. Employees or project managers who are vague about how hours are allocated or consistently bill to ambiguous project codes without clear justification are exhibiting patterns that forensic auditors follow closely.

The second signal is subcontractor exclusivity. A project lead who repeatedly recommends the same external vendor or subcontractor, particularly one that cannot be independently verified, is displaying a pattern seen frequently in services fraud.

A third signal is expense pattern rigidity. Employees who submit expense claims at consistent amounts, just within reimbursement limits, across multiple months without variation are not necessarily being careful; they may be structuring claims deliberately to avoid scrutiny.

The auditor's job is to look past the surface and ask what the pattern is actually saying.

Transaction Pattern

The Story That Numbers Tell When You Stop Reading Them One at a Time

Fraud often hides in the ordinary. Three signals appear consistently across almost every transaction-based fraud investigation. Round-figure transactions, amounts just below approval threshold limits, and limited payee concentration - a disproportionate volume of payments flowing to one or two vendors, approved by the same individual, with no competitive sourcing on record. Individually, each passes review. Together, they are the pattern.

A single transaction proves very little. A sequence of them, their timing, their amounts, their relationships to each other, can prove almost everything. This is the core of transaction pattern analysis. It is about stepping back far enough to see what the data is drawing when you look at it as a whole.

Fraudsters understand this instinctively. Which is why they don't commit fraud in one large, obvious transaction. They distribute it. They time it. They keep individual amounts within approval thresholds. They create enough distance between related entries that no single transaction triggers a flag. The pattern is visible — but only to someone who knows how to look for it.

Financial Institutions

In banking and financial services, transaction pattern analysis is both the most developed and the most complex.

The most documented pattern is structuring — breaking large amounts into smaller transactions



Deliberately designed to stay beneath regulatory reporting thresholds. A series of cash deposits just above the threshold limit, which trigger reporting requirements, is not a coincidence. It is a pattern with intent behind it.

The second pattern is round-trip transactions - funds that leave an account and return through a series of intermediary transfers, often across multiple accounts or entities, creating the appearance of legitimate business activity. Each transfer looks clean. The circuit only becomes visible when transactions are mapped across accounts and time.

A third pattern is dormant account activation - sudden high-value activity in accounts that have shown little or no movement for extended periods. In fraud investigations, dormant accounts are frequently used as temporary holding points precisely because they attract less routine monitoring.



Manufacturing

In manufacturing, transaction fraud is most concentrated in procurement and inventory, and the patterns reflect the operational structure of the industry.

The most common pattern is purchase order splitting. A single procurement requirement is divided into multiple smaller orders placed with the same vendor across short time periods - each order staying within individual approval limits while the combined value would have required senior sign-off.

The second pattern is ghost supplier invoices — invoices submitted by vendors that exist on paper but have never delivered goods. These transactions appear in clusters, often at month-end or quarter-end, and frequently involve round-number amounts that do not reflect actual material costs.

A third manufacturing-specific pattern is goods receipt manipulation — transactions where delivery quantities recorded in the system do not match physical stock levels, with the discrepancy consistently moving in the same direction over time.

Service Organisations

In service organisations, transaction fraud most commonly appears in billing, expenses, and subcontractor payments, areas where the link between payment and physical deliverable is hardest to verify.

The clearest pattern is duplicate billing — the same deliverable invoiced twice under different project codes, billing periods, or slightly varied descriptions. In high-volume project environments, these duplicates can remain undetected for months when invoices are reviewed individually rather than compared across the full billing history.

The second pattern is expense claim clustering - multiple employees submitting claims of identical or near-identical amounts across the same time period, particularly when those amounts sit just within reimbursement policy limits.

A third pattern is subcontractor payment irregularity - payments to external vendors that do not align with contract milestones, deliverable timelines, or agreed rates. Subcontractor relationships are frequently used to route funds to connected parties, with each payment structured to appear within normal project expenditure.





The 3-3-3 Rule of Vendor Fraud Detection

Vendor fraud is not complicated. That is what makes it dangerous.

It does not require sophisticated financial engineering or access to complex systems. It needs three things - a willing person, a weak process, and an auditor who is not asking the right questions. The 3-3-3 Rule is built to close that last gap. It is a field framework used by experienced fraud examiners to cut through vendor master data quickly and find what should not be there.

The 3-3-3 Rule does not find fraud by accident. It finds it because it forces the auditor to ask the questions that fraud has always depended on going unasked.

3 Documents Every Auditor Must Pull

Before any vendor is paid, three documents should exist and align: the purchase order, the goods receipt note or service confirmation, and the invoice. This is three-way matching — the foundation of vendor fraud prevention.

Most organisations have this process on paper. Fraud lives in the exceptions.

Purchase orders raised after payment has already been made. Service confirmations signed by the same person who originally requested the vendor. Invoices approved without any corresponding receipt on record. In each of these cases, the document exists, but the sequence is wrong, the signatures are wrong, or the timing does not hold up under scrutiny.

Pull these three documents for every vendor flagged in your review. Check who signed each one, when it was signed, and whether the same individual appears across more than one stage of the process. A single person controlling the purchase request, the receipt confirmation, and the invoice approval is not an efficiency measure. It is a segregation of duties failure, and in fraud investigations, it is almost always intentional.

If any document is missing, backdated, or suspiciously uniform in its approvals, you are no longer looking at a process gap. You are looking at a control that was deliberately bypassed.

3 Questions That Expose Ghost Vendors

Ghost vendors - suppliers that exist in the system but have never delivered a single product or service — are among the most common and most preventable forms of procurement fraud. They persist because no one asks the obvious questions early enough. Three questions cut through them fast.

First: Does this vendor have a verifiable physical address, a valid business registration, and a working contact number that is independent of the employee who added them to the system? A vendor whose only traceable contact is the internal employee who created the record is not a vendor. It is a liability waiting to surface.

Second: When was this vendor added to the master data, who approved that addition, and how quickly did payments begin after registration? Legitimate vendors go through onboarding, verification, and a trial period. Fraudulent vendors go from registration to payment in days — sometimes within the same week, occasionally on the same day.

Third: Does this vendor share a bank account number, registered address, phone number, or email domain with any other active vendor in the system, or with any current employee? This cross-referencing step is where most ghost vendor networks collapse. Fraudsters creating multiple fake vendors frequently reuse contact details, banking information, or addresses without realising that a simple data comparison will expose the connection immediately.

Each question alone is a verification check. Together, they form a pattern test that ghost vendors cannot pass.

3 Red Flags That Appear in Nearly Every Case

Across vendor fraud investigations globally and in India, three signals appear with striking consistency - regardless of industry, organisation size, or the sophistication of the scheme.

The first is round-number invoicing. Invoices that arrive at exactly ₹50,000, ₹1,00,000, or ₹2,50,000 with no itemised breakdown of goods or services. Real commercial transactions are rarely this clean. When invoices consistently arrive in round numbers from the same vendor, the absence of detail is itself the detail worth examining.

The second is threshold proximity. Vendors whose individual invoices or total annual billing consistently sits just below the value that would trigger a formal procurement review, a second approval, or a competitive tendering requirement. This is not coincidence — it is calibration. Someone who understands the organisation's approval structure well enough to stay beneath it, consistently, across multiple transactions, has almost certainly done so deliberately.

The third is single-source exclusivity. A vendor used exclusively by one department, one project lead, or one approver - with no competitive quotes on record, no documented rationale for exclusivity, and no history of the organisation reviewing the arrangement. Legitimate single-source relationships exist. But they come with justification. When the justification is absent, and the exclusivity is total, the relationship deserves a second look.

None of these three signals confirms fraud on its own. But in every vendor fraud case examined in hindsight, at least two of them were present - often all three, visible from the beginning, simply never questioned.

Network Analysis

Following the People, Not Just the Money

Every fraud investigation eventually arrives at the same realisation: the money did not move by itself. Someone moved it. And that someone rarely acted alone.

This is where most audits stop short. The transaction is flagged, the amount is recovered, the vendor is removed from the system. But the relationship that made the fraud possible - the human connection between the employee, the vendor, and sometimes a third party sitting quietly in the background - goes unexamined. Which is why the same fraud, or a variation of it, often resurfaces months later through a different name, a different account, and a different invoice.

Network analysis changes that. It is not a new technology. It is a method of thinking — one that maps relationships between people, entities, and transactions to find connections that data alone cannot show.

What Network Analysis Actually Does

When an auditor reviews a transaction, they are looking at a single data point. When they review a vendor, they are looking at one node. Network analysis pulls back further - it asks what surrounds that node. Who approved this vendor? Who created the purchase order? Who authorised the payment? Does the vendor's registered address appear anywhere else in the system? Does the bank account receiving payment belong to an entity connected to anyone inside the organisation? The answers to these questions do not live in any single record.

They emerge when records are mapped against each other - when the auditor stops reading vertically down a ledger and starts reading horizontally across relationships.

In practice, this means cross-referencing vendor master data against employee records, comparing bank account numbers across all active suppliers, mapping approval chains to identify individuals who consistently appear together in high-value transactions, and checking company registration details against known employee addresses, phone numbers, and email domains.

A Pattern That Repeats

In the majority of occupational fraud cases investigated globally, the fraud involved at least two people - an insider and an external party with a concealed connection to them. That connection is the network. And it existed before the first fraudulent transaction was ever processed. The transaction is the evidence. The network is the explanation. And an audit that finds one without mapping the other has only told half the story.

Reading the Map That Fraudsters Did Not Know They Were Drawing

Fraudsters are careful about transactions. They are rarely as careful about relationships.

They keep invoice amounts below thresholds. They rotate vendor names. They split payments across time periods and cost centres. But they reuse phone numbers. They register shell companies at addresses connected to family members. They approve each other's requests. They create patterns in who they communicate with, who they protect, and who they consistently bring into a process that others are kept out of.



Network analysis finds fraud by reading those relationship patterns - the map that fraudsters draw without realising it.

How It Works in Practice

The starting point is always a node - a vendor, an employee, a transaction, or an approval. From that node, the analyst asks a simple question: what else is connected to this?

A vendor with an address that matches a former employee's home address. Two active vendors sharing the same mobile number. An approver who has authorised every payment to a specific supplier for three consecutive years without a single query raised. A consultant added to the vendor master the week after a long-serving procurement officer joined the organisation.

None of these connections appear in a standard audit report. They only become visible when data is mapped relationally - when the auditor is looking for links, not just entries.

In India, network analysis has been central to uncovering fraud in cooperative banking, real estate procurement, and government contracting - sectors where personal relationships frequently overlap with professional ones, and where the line between a legitimate business connection and a fraudulent one is deliberately kept thin.

What to Map and Where to Start

Four data sets, cross-referenced against each other, form the foundation of most network analyses in fraud investigation.

Vendor master data mapped against employee records - names, addresses, phone numbers, email domains, and bank account numbers. Approval chains mapped against transaction histories - who approves what, how often, and whether the same pairing of approver and vendor appears disproportionately. Company registration details mapped against known personal information of employees and their immediate connections. And communication records, where available, mapped against the timeline of suspicious transactions.

The pattern does not always appear immediately. But when it does, it is rarely ambiguous. A network of relationships built to support fraud has a shape, and that shape looks nothing like the way legitimate business relationships are structured.

Follow the money long enough, and you find the transaction.
Follow the people, and you find the fraud.

In-Demand Roles. Right Now.

Organisations have recognised that gap. The demand for pattern-trained professionals in forensic audit, AML, and financial crime investigation has quietly become one of the strongest hiring movements in the financial services sector, and it is only accelerating.

Here are the positions organisations are actively building to catch what conventional audit keeps missing. Roles curated from LinkedIn based on relevance to CFE, CIA, CISA, and CAMS career tracks.



Kroll

Analyst II

Mumbai

Experience: 3+ Years

Job Role = Analyze fraud alerts, conduct customer due diligence, and investigate financial crime cases. Enhance compliance through risk assessments, quality reviews, and continuous process improvements.



Oak North

Senior Associate

Gurugram

Experience: 5+ Years

Job Role = Conduct quality assurance reviews of AML/KYC due diligence, identify compliance gaps, and support effective financial crime prevention through robust control frameworks.



PWC India

Fraud Investigator

Bengaluru

Experience: 10+ Years

Job Role = Conduct forensic investigations, evaluate fraud risks, and deliver evidence-based insights to resolve complex financial crime and regulatory matters.



Barclays

Control Assurance - VP

Gurugram

Experience: 10+ Years

Job Role = Assess control design and operational effectiveness through risk-based reviews and testing. Deliver actionable insights to strengthen internal controls and support strategic risk management initiatives.



EY

Assistant IA Director

Gurugram

Experience: 10+ Years

Job Role = Manage end-to-end internal audit assignments, lead high-performing audit teams, and provide strategic recommendations to improve governance, compliance, and risk management.



Star Zen

Fraud Officer

Gurugram

Experience: 4+ Years

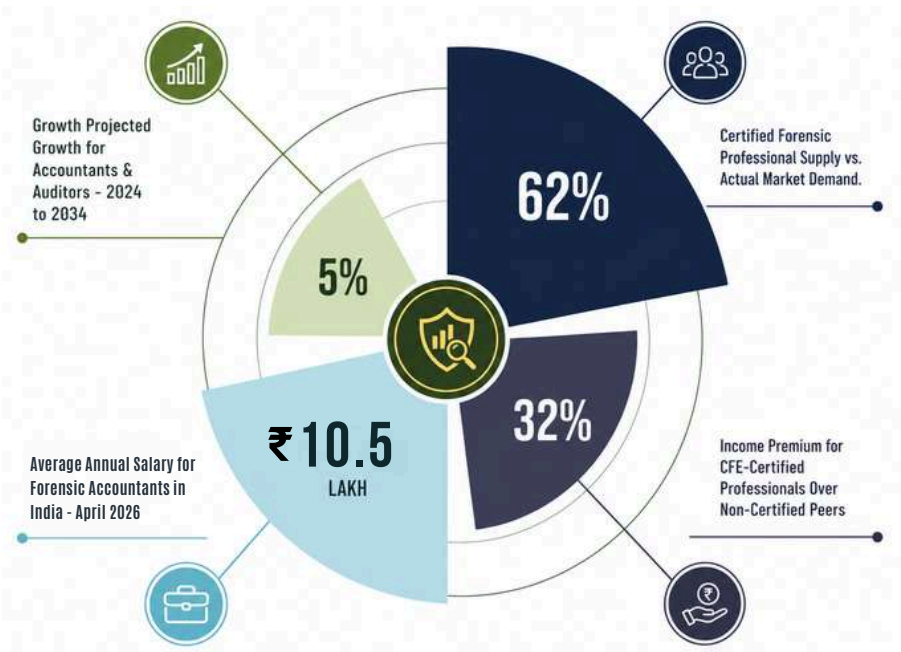
Job Role = Lead fraud monitoring and risk assessment activities by analyzing suspicious transactions, strengthening internal controls, & implementing proactive fraud prevention measures across telecom operations.

Professionals holding global certifications like CFE, CIA, CISA, or CAMS report faster hiring cycles, stronger salary negotiations, and clearer career progression - across both corporate and consulting tracks.

Disclaimer: *All logos used are the property of brand only.*

What the Data Reveals

Insights Shaping the Industry's Direction



62%

Certified Forensic Professional Supply vs. Actual Market Demand.

Globally, certified forensic accounting professionals meet only 62% of total market demand - leaving 38% of active investigations under-resourced. Case backlogs exceed 12 months in 31% of jurisdictions worldwide.

Source: Business Research Insights - Forensic Accounting Services Market Report, 2026

32%

Income Premium for CFE-Certified Professionals Over Non-Certified Peers

CFE holders consistently earn 32% more than non-certified colleagues globally - reflecting the premium organisations place on verified fraud examination expertise in a market where supply remains critically short.

Source: ACFE Compensation Guide for Anti-Fraud Professionals, 2024 | ACFE Live Benefits Page, 2025

5%

Growth Projected for Accountants & Auditors - 2024 to 2034

The US Bureau of Labor Statistics projects 5% employment growth for accountants and auditors from 2024 to 2034, faster than average across all occupations, with forensic specialisations commanding the highest growth trajectory within the field.

Source: US Bureau of Labor Statistics, 2025 | Research.com Forensic Accountant Careers Guide, May 2026

₹10.5

Lakh Average Annual Salary for Forensic Accountants in India - April 2026

Glassdoor's India salary data shows that forensic accountants earn an average of ₹10.5 Lakh per year - with top earners reaching ₹16 Lakh annually. Professionals in Mumbai, Delhi NCR, and Bangalore command the highest packages, as global consulting and financial firms actively hire for fraud detection and forensic audit roles.

Source: Glassdoor India - Forensic Accountant Salary, April 2026

The Pattern-Spotter's Toolkit

The tools and skills defining the next generation of financial crime professionals. Today, the gap between a good auditor and a great one often comes down to one thing - what they use and what they know.



1

IDEA (INTERACTIVE DATA EXTRACTION & ANALYSIS)

Auditors use IDEA to analyse 100% of transaction data, detecting duplicates, gaps, outliers, and threshold patterns across millions of entries simultaneously without sampling.

2

PALANTIR GOTHAM

Originally built for intelligence agencies, Palantir maps hidden relationships across massive datasets, connecting people, entities, and transactions to expose fraud networks invisible in spreadsheets.

3

I2 ANALYST'S NOTEBOOK (IBM)

A visual link analysis tool used by forensic investigators to map connections between vendors, employees, accounts, and events, turning complex fraud networks into readable relationship diagrams.

4

SAS FRAUD MANAGEMENT

Uses machine learning to detect real-time transaction anomalies across financial institutions, scoring each transaction for fraud probability based on evolving behavioural and pattern models.

5

SEON FRAUD INTELLIGENCE

Aggregates digital footprints, email, device, IP, and social data to detect synthetic identities and behavioural inconsistencies that traditional transaction monitoring tools are not designed to catch.

6

MINDBRIDGE AI AUDITOR

An AI-powered audit tool that scores every journal entry for risk - specifically designed to catch unusual manual entries, control overrides, and timing anomalies that indicate financial manipulation.

7

RELATIVITY (EDISCOVERY + INVESTIGATION)

Used in complex fraud investigations to process, search, and analyse large volumes of documents and communications, identifying patterns in language, timing, and relationships across evidence sets.

Disclaimer: AIA Times does not endorse, promote, or recommend any specific platform, vendor, or product. The tools referred to in this section are mentioned solely for educational and knowledge purposes.

In-Demand Skills

For Early Aspirants →

- **Data Literacy:** Understanding how to read, query, and interpret structured data using tools like Excel, SQL, or IDEA, the foundation every pattern-based investigation starts from.
- **Fraud Scheme Awareness:** Knowing the most common fraud typologies—such as procurement fraud, ghost vendors, expense manipulation — before entering the field gives aspirants an investigative head start.
- **Report Writing & Documentation:** Translating investigation findings into clear, structured, evidence-backed reports, a skill that directly determines how seriously your findings are taken.
- **Ethical Judgement & Professional Scepticism:** The ability to question and to maintain that discipline even when findings are inconvenient, or pressure exists to move on.
- **Basic Knowledge of AML & Compliance Frameworks:** Understanding FATF guidelines, PMLA regulations, and KYC/CDD requirements gives aspirants immediate relevance in financial institutions and compliance teams.

For Working Professionals →

- **AI-Augmented Audit Thinking:** Understanding how AI tools surface patterns, and more importantly, knowing when to override, question, or investigate beyond what the algorithm flags.
- **Network & Link Analysis:** Mapping relationships between vendors, employees, entities, and transactions using tools like i2 or Palantir to expose fraud structures hidden across siloed data.
- **Digital Forensics Fundamentals:** Understanding metadata, log analysis, device fingerprinting, and email forensics, increasingly essential as fraud moves deeper into digital environments.
- **Behavioural Analytics Interpretation:** Reading and applying behavioural data signals, access patterns, login anomalies, communication frequency, alongside financial data to build a complete investigation picture.
- **Regulatory Intelligence & Horizon Scanning:** Staying ahead of evolving RBI, SEBI, FATF, and MCA mandates, and understanding how new regulations create both new compliance requirements and new fraud vectors.

The Boss Scam

How a Fake Identity Drained Corporate Accounts

When Authority Became the Weapon and Trust Became the Vulnerability.

In June 2025, three Delhi-based companies lost ₹7.8 crore within a span of fourteen days. A senior finance official received urgent messages from what appeared to be their respective CEOs. The instructions were clear, confidential, and time-sensitive. The employees complied. A total of over ₹7 crore left corporate accounts before anyone realised the CEOs had never sent those messages.

No system was hacked. No password was stolen. The only thing exploited was the most powerful force inside any organisation - the unquestioned authority of a senior leader. Cybercriminals invested significant time researching their targets - studying organisational hierarchies, communication styles, and internal financial workflows before executing the scam. The fraud walked through the front door wearing a familiar face.

Business Email Compromise (BEC) — A cyber-enabled fraud where criminals impersonate senior executives through fake business emails or messages to trick employees into authorising unauthorised financial transfers.



STAGE 1 - Reconnaissance: Learning the Organisation From the Outside

Before a single fraudulent message was sent, the attackers did their homework.

Attackers leveraged lookalike domains, fake executive profiles, and AI-generated communications - using publicly available information from company websites, LinkedIn profiles, press releases, and social media to map internal hierarchies, identify finance decision-makers, and study the communication tone of senior executives.

They knew who reported to whom. They knew which employees had payment authority. They understood the internal language well enough to replicate it convincingly. By the time the first fraudulent message was sent, the attacker already knew exactly which person to target, which amount would not raise immediate suspicion, and which framing - urgency, confidentiality, and authority - would be most effective.

What this stage reveals: The fraud begins with a pattern of information gathering that left no financial trace and triggered no internal alert.

STAGE 2 - Entry: The Regulatory Disguise

The latest variant of the Boss Scam began with cybercriminals impersonating regulators, specifically the Reserve Bank of India, sending urgent messages to CEOs or senior executives via email, SMS, or WhatsApp. These messages contained malicious archives disguised as urgent regulatory compliance documents or software updates.

When the senior executive - the intended impersonation target - opened the attachment, malware was delivered to their device. This gave attackers access to the executive's WhatsApp account, communication patterns, and in some cases, their contact list.

The executive's own account was now the weapon.



Disclaimer: This case study is presented solely for educational purposes to identify governance failures, audit gaps, and financial risk lessons drawn from documented fraud patterns. All details are sourced from official advisories issued by I4C, the Ministry of Home Affairs, Government of India (June 2025), and verified law enforcement disclosures.

What this stage reveals: The fraud exploited a trust gap at the very top of the organisation. The CEO became a victim before the finance team became a target.

STAGE 3 - Execution: The Urgent Instruction

With access to, or a convincing replica of, the executive's communication channel, the attacker contacted the finance team directly.

The scammer used a spoofed email address or compromised WhatsApp profile to send urgent-sounding messages to employees, portraying instructions as coming directly from the CEO or senior boss - instructing the employee to quickly transfer funds for an urgent, confidential business deal.

The instruction carried every marker of legitimacy - correct name, familiar tone, plausible business context. It also carried the one element most effective at bypassing verification: urgency. The request needed to be actioned immediately. It was confidential. It could not go through normal channels. Standard procedures would delay something important.

The employee complied. The transfer was processed.

What this stage reveals: Urgency and authority, combined, are the most effective fraud delivery mechanism ever identified. Neither requires technical sophistication to deploy.



STAGE 4 - Concealment: Staying Inside the Noise

The final stage of the Boss Scam was not dramatic. It was designed to be invisible.

Transfer amounts were calibrated to fall within ranges that would not immediately trigger internal review thresholds. Instructions came through channels - WhatsApp and email — channels that were already part of normal workplace communication. The request referenced real business contexts - regulatory requirements, confidential acquisitions, vendor urgencies - that were plausible enough not to invite scrutiny.

By the time the fraud was discovered, the funds had moved through multiple accounts. In most documented cases, discovery occurred not through internal audit or monitoring - but when the real executive was contacted about a transaction they had never authorised.

What this stage reveals: The fraud was designed to look like business as usual, and it succeeded because, in most organisations, business as usual lacks the verification layer that would have stopped it.

WHERE CONTROLS FAILED

The Boss Scam succeeded not because organisations lacked systems — but because the systems they had were never designed to question authority. No dual authorisation existed for high-value transfers initiated through digital channels. No callback protocol required finance teams to independently verify payment instructions with the requesting executive. The same employee who received the instruction processed the transfer - with no independent checkpoint between the two actions. At the senior level, executive devices lacked adequate malware protection, allowing attackers to compromise the very accounts the finance team trusted most. Most critically, no policy distinguished between a WhatsApp message and a formally authorised payment instruction. The controls existed on paper. The culture to enforce them did not.

RED FLAGS MISSED

Every stage of the Boss Scam carried signals that, in hindsight, were impossible to ignore, and in real time, were ignored completely. The instruction arrived through WhatsApp, not through any formal authorisation channel. It was marked urgent and confidential - the two words most consistently present in social engineering attacks. No supporting documentation accompanied the request. The payee account details were new and unverified. The message arrived outside normal business hours. And to those who noticed it, the executive's tone felt slightly different - briefer, more transactional than usual. Each signal alone could be explained away. Together, they formed a pattern that a trained investigator or a finance team with a verification-first culture would have recognised before the transfer was ever processed.



LESSONS FOR AUDITORS

1. The Absence of a Paper Trail Is Itself a Red Flag

In every documented Boss Scam case, the fraudulent payment instruction arrived without supporting documentation - no purchase order, no contract reference, no formal approval record. A payment that cannot be traced to a documented business need should not be processed, regardless of who appears to have authorised it. Auditors reviewing payment processes should specifically test for transactions where the authorisation chain begins and ends with a single digital message.

2. Urgency Is a Control Override, Not a Business Requirement

The consistent presence of urgency across all Boss Scam cases is the mechanism by which normal verification is suspended. Internal audit should examine whether the organisation's payment approval process has a documented exception for urgent requests, and if so, whether that exception itself has adequate controls. Urgency should trigger more verification, not less.



3. Informal Communication Channels Are an Audit Blind Spot

As organisations increasingly use messaging platforms for workplace communication and quick approvals, WhatsApp-based corporate fraud has emerged as a recurring pattern, particularly targeting finance teams and decision-makers. Auditors should assess whether payment authorisation policies explicitly address instructions received through informal channels, and whether finance teams have clarity on which channels carry authorisation authority and which do not.

4. The Entry Point Was the Executive, Not the Finance Team

The Boss Scam succeeded in part because the fraud entered the organisation at the top, through the executive's device, before targeting the finance team. This means traditional fraud prevention focused on front-line employees misses the actual point of vulnerability. Auditors should evaluate whether cybersecurity controls, device policies, and awareness programmes extend to senior leadership with the same rigour applied to operational staff.

5. Pattern Recognition Must Extend Beyond Financial Data

None of the red flags in the Boss Scam were financial in origin. They were behavioural - unusual timing, informal channels, absent documentation, tone inconsistencies. A fraud detection function that only reviews financial transactions will not catch a fraud that is designed to look like an authorised transaction. The auditor's lens must extend to process behaviour, communication patterns, and verification culture - not just numbers.

WHAT THIS MEANS FOR YOUR ORGANISATION

5 Controls to Implement Before This Happens to You

1. Implement Dual Authorisation for Emergency Transfers

No single employee should have the authority to both receive a payment instruction and process the corresponding transfer. Two independent approvals, through two separate channels, should be the minimum standard.

2. Establish a Mandatory Callback Protocol

Any payment instruction received via email or WhatsApp, regardless of the apparent sender, must be verbally confirmed with the executive through a pre-registered, independently verified phone number before processing.

3. Create a "Pause and Verify" Culture

Urgency should be treated as a trigger for more scrutiny, not less. Finance teams need explicit policy backing, and leadership support to pause and verify before acting on any unusual instruction, regardless of apparent authority.

4. Define Authorised Payment Channels in Writing

WhatsApp messages and informal emails should not carry payment authorisation authority. Organisations should formally document which channels constitute valid authorisation, and train finance teams to apply that distinction consistently.

5. Extend Cybersecurity Awareness Across the Organization

Malicious attachments, fake regulatory communications, and compromised messaging accounts are not threats that only front-line employees face. Executive-level cyber hygiene - verified device management, attachment policies, account monitoring - is a direct fraud prevention control to extend cybersecurity awareness across the organization.

GAMES

Spot the Pattern:

Test Your Investigative Eye



GAME 1

Spot the Odd Transaction

Sr. no.	Date	Vendor Name	Amount (*)	Approved By
1	Apr 3, 2025	Sharma Supplies	48,500	Ravi Mehta
2	Apr 7, 2025	Sharma Supplies	49,200	Ravi Mehta
3	Apr 12, 2025	Sharma Supplies	49,800	Ravi Mehta
4	Apr 14, 2025	Allied Traders	124,000	Priya Nair
5	Apr 16, 2025	Nexus Pvt Ltd	87,500	Ravi Mehta
6	Apr 18, 2025	Allied Traders	124,000	Priya Nair
7	Apr 22, 2025	Bright Solutions	33,000	Amit Shah
8	Apr 25, 2025	Sharma Supplies	49,500	Ravi Mehta
9	Apr 28, 2025	Nexus Pvt Ltd	87,500	Ravi Mehta
10	Apr 30, 2025	KR Enterprises	215,000	Priya Nair



Not Every Number That Balances Is Honest.

You are reviewing April 2025 vendor payment records for a mid-sized manufacturing company. Study the 10 transactions in the table carefully. Three entries contain red flags. Identify them, circle the transaction numbers, and write your reason below each one.

Hint: *Look at amounts, dates, approvers, and vendors as a pattern.*

GAME 2

The Audit Trail Jigsaw

Can you fix the trail before the fraud disappears?

The 5 steps below are scrambled. Arrange them in the correct order, then identify where the control broke down.

Scrambled Steps:

1. Invoice approved by the same person who raised the purchase requisition
2. Purchase order issued to vendor after authorisation
3. Payment released to vendor bank account
4. Purchase requisition raised by department head
5. Vendor invoice received and matched against purchase order

GAME 3

Pattern or Coincidence?

Four data sets below. Some are genuine fraud patterns. Some are pure coincidence. Classify each, and write one reason why.

A An employee submits expense claims of exactly *4,950 every month for 8 consecutive months.

☐ Pattern ☐ Coincidence

B A vendor invoices 1,12,437 in January and 98,204 in March - both for different services.

☐ Pattern ☐ Coincidence

C Three different vendors share the same PIN code as a procurement officer's home address.

☐ Pattern ☐ Coincidence

D A finance executive processes 14 transactions between 11 PM and 1 AM across a single month.

☐ Pattern ☐ Coincidence

GAME 4

Know Your Fraud Schemes

Each scenario below describes a fraud scheme. Match it to the correct name from the box.

SCHEME BOX

Ghost Vendor | Lapping | Skimming | Kickback | Kiting | Shell Company

1. Rajesh works in accounts receivable. When Customer A pays *50,000, he pockets it. When Customer B pays the next day, he applies that payment to Customer A's account and so on.

   Answer: _____

2. A procurement oficer approves contracts exclusively to one supplier who then transfers 15% of each contract value back to the officer's wife's account.

   Answer: _____

3. Invoices are being paid to "Vertex Trading Pvt Ltd" - a company with no employees, no office, and no delivery history. It was added to the vendor master by an accounts payable executive.

   Answer: _____

4. A cashier intercepts customer cash payments before they are recorded in the system the transaction never appears in the books.

   Answer: _____

5. A company writes a cheque to Bank A knowing insufficient funds exist then quickly deposits a cheque from Bank B to cover it before either clears, exploiting the float period.

   Answer: _____

6. Payments are being made to "Arcturus Consulting" - a company registered at a residential address with no verifiable business activity, used entirely to receive and redirect funds.

   Answer: _____

GAME 5

Two Truths and a Fraud

Instructions: **Three fraud cases below. Two actually happened. One is fabricated. Can you spot the fake?**

A Case A:

A Nigerian oil company discovered that a finance executive had been paying invoices to a vendor called "Nigerian Technical Solutions" for 4 years - a company that shared his mother's home address and was registered the week he joined the organisation.

Total loss: $4.2 million.

B Case B:

A Mumbai-based cooperative bank collapsed after auditors discovered that 217 loan accounts, all showing regular repayments, had been serviced using funds from newly opened dormant accounts. The scheme ran undetected for 6 years.

Total loss: 740 crore.

C Case C:

A UK accounting firm discovered that a senior partner had created 14 fictitious client files, billing each an average of £22,000 per year for services never rendered. The fraud was discovered when a client called to query an invoice they had never received.





Game 1: Answers:

Red Flag 1 - Transactions 01, 02, 03 & 08 Sharma Supplies - Threshold Manipulation

Reason: All four payments land just below ₹50,000, the likely approval threshold requiring a second signatory. Same vendor, same approver (Ravi Mehta), four different dates. This is deliberate structuring to avoid senior oversight.

Red Flag 2 - Transactions 04 & 06 Allied Traders - Duplicate Payment

Reason: Identical vendor, identical amount (₹1,24,000), identical approver (Priya Nair), only the date differs. Classic duplicate invoice fraud. One payment was legitimate. The second was not.

Red Flag 3 - Transactions 05 & 09 Nexus Pvt Ltd - Duplicate Payment

Reason: Same vendor, same amount (₹87,500), same approver (Ravi Mehta), 12 days apart. A second duplicate pattern, and Ravi Mehta now appears across two separate red flags. That overlap is itself a signal worth following.

Game 2: Answers:

The Audit Trail Jigsaw

✅ ***Correct Order: D → B → E → A → C***

Control Break - Step A

The same person who raised the purchase requisition in Step D also approved the invoice in Step A. This is a Segregation of Duties failure - one of the most exploited control gaps in procurement fraud. When the same individual controls both the request and the approval, there is no independent check. The fraud does not need to be clever. It just needs this gap to exist.

Game 3: Answers:

Pattern or Coincidence?

Answers:

A **-** Pattern (Structured claims just below ₹5,000 reimbursement limit - deliberate threshold avoidance)

B **-** Coincidence (Different amounts, different services, different months - no suspicious signal)

C **-** Pattern (Address overlap between vendors and employee = undisclosed relationship, network red flag)

D **-** Pattern (Off-hours processing = reduced oversight window - classic concealment behaviour)

Game 4: Answers:

Know Your Fraud Schemes

1. Lapping
2. Kickback
3. Ghost Vendor
4. Skimming
5. Kiting
6. Shell Company

Game 5: Answers:

Two Truths and a Fraud

Answer: Case C is fabricated.

Case A is based on real procurement fraud patterns documented across West African energy companies.

Case B is modelled on the PMC Bank fraud (2019) - one of India's largest cooperative banking collapses involving structured loan concealment.

Case C contains an internal contradiction: a client cannot query an invoice they never received if the files were fictitious. The discovery mechanism doesn't hold up under scrutiny.

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HIDDEN CONNECTIONS REVEALED

PATTERNS UNCOVERED



Every page has led you closer to the truth. The magazine ends here, but your journey of uncovering hidden patterns begins now.

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